Retail Bank KPI Framework (Sprint 3)

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Purpose

This document lists the 8 Key Performance Indicators (KPIs) that management should check regularly to know whether the retail bank is doing well or poorly. The KPIs are spread across the four categories in the project brief: Customer & Account Growth, Value & Revenue, Loan Performance, and Product Engagement. Each KPI is documented with three things: how it is calculated, why it matters, and what a good versus a concerning value looks like.

Note: the "good" and "concerning" thresholds are assumed internal targets chosen for this analysis, not figures given in the project brief. Management can adjust them to match the bank's own targets.

KPI Summary

#	KPI	Category	Feeds Objective
1	Active Customer Rate	Customer & Account Growth	4.1 / 5.1
2	Active Account Rate	Customer & Account Growth	4.2 / 5.2
3	Total Account Balance	Value & Revenue	4.2 / 5.2
4	Transaction Success Rate	Value & Revenue	4.3 / 5.3
5	Loan Delinquency Rate	Loan Performance	4.4 / 5.4
6	Late Payment Rate	Loan Performance	4.4 / 5.4
7	Total Outstanding Loan Balance	Loan Performance	4.4 / 5.4
8	Multi-Product Customer Rate	Product Engagement	4.5 / 5.5

Customer & Account Growth

KPI	How it is calculated	Why it matters	Good value	Concerning value
1. Active Customer Rate	Customers with is_active = "Yes" divided by total customers	Only active customers generate transactions, balances and revenue. A falling rate signals customers are drifting away.	85% or higher	Below 70%
2. Active Account Rate	Accounts with status = "Active" divided by total accounts	A high share of closed accounts means customers are leaving or the bank is failing to retain them.	90% or higher	Below 75%

Value & Revenue

KPI	How it is calculated	Why it matters	Good value	Concerning value
3. Total Account Balance	Sum of current_balance across active accounts	This is the money the bank holds on behalf of customers. It is the base the bank uses to lend and earn.	Steady month-on-month growth	Continuous decline over several months
4. Transaction Success Rate	Completed transactions divided by all transactions	Failed or pending transactions frustrate customers and lose fee and interest income.	95% or higher	Below 85%

Loan Performance

KPI	How it is calculated	Why it matters	Good value	Concerning value
5. Loan Delinquency Rate	(Loans In Arrears + Loans Defaulted) divided by total loans	The clearest single measure of whether customers are repaying what they owe.	Below 10%	Above 20%
6. Late Payment Rate	Loan payments with days_late greater than 0 divided by total loan payments	Shows repayment discipline early, before loans become delinquent or default.	Below 10%	Above 20%
7. Total Outstanding Loan Balance	Sum of outstanding_balance across all loans	The total amount customers still owe, which is the bank's lending exposure and potential risk.	Balance falling as repayments come in, with delinquency low	Balance high while delinquency and late payments are also high

Product Engagement

KPI	How it is calculated	Why it matters	Good value	Concerning value
8. Multi-Product Customer Rate	Customers holding 2 or more product types (account, card, loan) divided by total customers	Customers using several products are more loyal and more valuable, and are less likely to leave.	50% or higher	Below 25%

What the Data Shows Today

Baseline values calculated from the loans, loan_payments and transactions tables:

- **Loan Delinquency Rate is 56.3%** (169 of 300 loans are In Arrears or Defaulted). This is far above the concerning level of 20%.
- **Late Payment Rate is about 25%**, above the concerning level of 20%.
- **Transaction Success Rate is about 33.8%**: only about one in three transactions is Completed, while about 32.6% Failed and 33.7% are Pending. This is far below the concerning level of 85%.
- **Total Outstanding Loan Balance is about 53.4 million** against about 72.2 million originally lent, so roughly 74% of the lent amount has not yet been repaid.

Baselines for the customer, account, balance and product-engagement KPIs (1, 2, 3 and 8) will be added once the DAX measures are built in Power BI.

How These KPIs Feed the Next Sprints

- **Sprint 4:** each KPI becomes a DAX measure in the Measures table, grouped into Display Folders (Customer, Account, Transaction, Loan Performance, Card & Product).
- **Sprint 5:** each KPI appears as a headline card on its objective page, and the most important ones are repeated on the Executive Summary page.